

RENTING VS. BUYING A HOME

Fun & Easy Financial Literacy Worksheet for Kids

Student Name: _____

Class / Grade: Middle / High School

Date: _____

Subject: Money & Economics

What Does a Home Mean to Us?

In many families, having a home is about feeling safe, cozy, and together. It's where we celebrate big festivals like Diwali, host family dinners, and make happy memories! But when people grow up, they have to make a big money decision: **Is it better to RENT a home or BUY a home?** Let's learn how both work!

1. Key Words You Should Know

Renting

You pay money every month to live in someone else's home (the landlord). You don't own the home, but you can move easily whenever your job or lifestyle changes!

Security Deposit

A lump of money you give the landlord before moving in. If you keep the place clean and unbroken, you get all this money back when you move out!

Buying & Owning

You pay money to buy a house so it becomes yours forever! You get total freedom to paint or renovate, but it costs a lot of money upfront.

Down Payment

A big chunk of savings you pay right away when buying a house (usually 10% to 20% of the total price).

EMI (Equated Monthly Installment)

A regular monthly payment made to the bank to pay back the loan you borrowed to buy your home.

★ Asset vs. Expense

- **Asset:** Something you own that grows in value and makes you wealthier over time (like a house that goes up in price).
- **Expense:** Money spent on something you use up right away without keeping anything owned (like buying lunch or paying monthly rent).

2. Renting vs. Buying: Side-by-Side

Renting a Home

GOOD Easy to move to new cities for school or jobs!

GOOD No huge home loans or long-term debt.

GOOD Landlord fixes broken pipes and roofs.

BAD You don't own the home at the end.

BAD Rent can go up every year.

Buying a Home

GOOD You own it! It becomes a valuable **asset**.

GOOD You can paint walls, get pets, or remodel!

GOOD Makes you feel secure and settled for life.

BAD Needs a huge down payment of savings upfront.

BAD You must pay to fix everything that breaks.

3. Fun Math & Practice Worksheet

Exercise 1: Help Rahul Choose!

Rahul is deciding between renting an apartment or buying a flat.

- **Option A (Renting):** Rent is ₹18,000 per month.
- **Option B (Buying):** Monthly EMI is ₹16,000 + Maintenance is ₹4,000 per month.

a) How much money will Rahul spend in 1 year if he RENTS? ($18,000 \times 12$)

b) How much money will Rahul spend in 1 year if he BUYS? ($[16,000 + 4,000] \times 12$)

c) Which option costs more cash in Year 1? What is the main difference between rent money and EMI money?

Exercise 2: Match the Words!

Draw a line matching each word to its simple meaning:

1. Security Deposit	A. A monthly payment to the bank to pay back a home loan.
2. EMI	B. Money given to the landlord upfront that you get back when you move out cleanly.
3. Asset	C. Something you own that increases in value over time.
4. Maintenance Fee	D. Regular monthly money paid to fix common areas, security, and parks.

Exercise 3: Career Case Study

Priya is a software engineer. She knows she will have to move to 3 different cities over the next 4 years for her work. Should Priya **BUY** a house right now or **RENT** an apartment? Give 2 simple reasons why!

4. Quiz & Thinking Questions

Question 1:

What is one big advantage of renting a home if your job requires you to move often?

Question 2:

An investor buys a flat in Mumbai for ₹50 Lakhs. 10 years later, it is worth ₹80 Lakhs. Why is this flat called an **Asset**?

Question 3:

Why might a family prefer to BUY a home even if renting is a little cheaper every month?